



ZIMBABWE SCHOOL EXAMINATIONS COUNCIL
General Certificate of Education Advanced Level

ACCOUNTING
PAPER 3 Problem Solving

6001/3
2 hours 30 minutes

SPECIMEN PAPER

Additional materials:
Answer booklet
Calculator

INSTRUCTIONS TO CANDIDATES

Write your name, Centre number and candidate number in the spaces provided on the answer booklet.

Answer **all** questions.

Write your answers on the separate answer booklet provided.

If you use more than one booklet, fasten them together.

INFORMATION FOR CANDIDATES

The number of marks is given in brackets [] at the end of each question or part question.

All workings should be shown.

The businesses in this specimen paper are intended to be fictitious.

This specimen paper consists of 5 printed pages.
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- 1 Tinaye is a business owner who has not been keeping complete books of accounts. The following information was available.

Tinaye's extract of statement of financial position as at 31 December 2024

	\$
Land and buildings	200 000
Machinery (at cost \$130 000)	80 000
Fixtures and fittings	38 000
Trade receivables	29 000
Prepaid expenses	12 000
Trade payables	20 000
Inventory at cost	81 600

The following is a summary of his cash book for the year ended 31 December 2025.

	\$		\$
Balance b/d	48 000	Trade payables	130 000
Disposal: Machinery	15 500	Machinery	36 000
Cash sales	28 000	Sundry expenses	35 000
Trade receivables	265 000		

Additional information

- | | \$ |
|---|---------|
| 1. Closing inventory at selling price | 30 000 |
| Opening capital | 460 600 |
| Trade receivables at 31 December 2025 | 32 000 |
| Trade payables at 31 December 2025 | 24 000 |
| 2. Mark up is 2/3 | |
| 3. During the year ended 31 December 2025, some of the inventory in the business was destroyed by fire but no amount had been determined. The insurer agreed to compensate 40% of the inventory destroyed. | |
| 4. Machinery bought on 1 May 2023 with a cost price of \$35 000 was sold for \$15 500 on 1 July 2025. Depreciation on machinery is to be provided for at the rate of 25% per annum using straight line method. A full year's depreciation should be provided for in the year of purchase and none in the year of sale. No depreciation is charged on fixtures and fittings. | |
| 5. A monthly rent of \$100 is payable by the business. By 31 December 2025 \$1 500 had been paid towards rentals. Rent is included in the sundry expenses account. | |
| 6. An allowance of doubtful debts at 5% of trade receivables is to be created. | |

- (a) Prepare Tinaye's
- (i) statement of profit or loss for the year ended 31 December 2025. [15]
 - (ii) statement of financial position as at 31 December 2025. [8]
- (b) State the basis of valuing inventory. [2]

2 Tan Plc had the following balances on 1 January 2024.

	\$
January 1. Machinery at cost	74 000 Dr
Delivery van at cost	128 000 Dr
Provision for depreciation:	
Machinery	22 200 Cr
Delivery vans	24 320 Cr

Additional information

1. It is company policy to depreciate machinery by 20% per annum using the straight line method for each month of ownership and delivery vans by 10% per annum using the reducing balance method.
2. On 30 June 2024, a new machine XLY was bought on credit from IBM for \$8 000.
3. On 31 March 2025, a new machine, XAY was sold for \$2 000. It had been bought on 1 January 2022 for \$4 000.
4. On 1 July 2025, delivery van DPL was bought for \$20 000 by cheque. On the same day, delivery van DBP bought on 30 June 2022 for \$12 000 was sold for \$6 200.
5. Tan's financial year ends on 31 December.

- (a) Prepare
- (i) machinery account for the years 2024 and 2025, [4]
 - (ii) delivery van account for the years 2024 and 2025, [4]
 - (iii) provision for depreciation on delivery vans account for the years 2024 and 2025, [7]
 - (iv) disposal account on delivery vans. [4]
- (b) Outline any **four** provisions of the International Accounting Standard (IAS) 16 in relation to disclosure in the financial statements. [4]
- (c) Identify **two** advantages of the reducing balance method of depreciation. [2]

- 3 Ben and Den are in partnership, sharing profits and losses in the ratio 3:2 respectively.
The following information has been provided:

Statement of financial position as at 31 December 2024

	\$	\$
Non current assets		
Premises		50 000
Equipment		23 000
Vehicles		<u>12 000</u>
		85 000
Current assets		
Inventory	11 000	
Trade receivables	4 200	
Bank	<u>1 800</u>	<u>17 000</u>
Total assets		<u>102 000</u>
Equity and liabilities		
Capital accounts: Ben		60 000
Den		<u>40 000</u>
		100 000
Current liabilities		
Trade payables		<u>2 000</u>
Total equity and liabilities		<u>102 000</u>

Additional information

Len was admitted into the partnership on 1 January 2025 and the following was agreed:

1. Len contributed \$40 000 into the business bank account.
2. Assets of the business were revalued as follows:

	\$
Premises	70 000
Equipment	15 000
Vehicles	3 000
Inventory	10 400
3. Goodwill was valued at \$4 500 and is not to be shown in the books.
4. Profits and losses are to be shared equally.

Prepare:

- (a) (i) Revaluation account. [6]
- (ii) Partners' capital accounts. [7]
- (iii) Statement of financial position as at 1 January 2025 after admission of Len. [8]
- (b) Explain any **two** reasons for partnership changes. [4]

- 4 Prie Ltd manufactures local sewing machines. The following summarised profit statement for the year ended 31 October 2025 is provided as follows.

	\$	\$
Sales		170 000
Less : Direct materials	51 000	
Direct labour	25 500	
Total overheads	<u>18 000</u>	<u>94 500</u>
Net profit		<u>75 500</u>

Additional information

- The current selling price per unit is \$100.
 - Included in the total overheads figure are fixed production costs of \$11 000.
 - For the year ending 31 October 2026, the following changes are to be effected;
 - sales agents are to be employed at a total annual sales commission of \$15 000. This is expected to increase sales revenue by 40%,
 - fixed overheads are to increase by 25%.
- (a) Prepare forecast profit statement based on marginal costing for the year ending 31 October 2026. [8]
- (b) Calculate for the year ended 31 October 2025 (previous) and year ending 31 October 2026 (forecast):
- (i) Break-even point in units, [6]
- (ii) Margin of safety in units. [4]
- (c) Explain **three** differences between marginal costing and absorption costing. [6]
- (d) State **one** limitation of cost volume profit (break even) analysis. [1]